

These metrics provide a comprehensive picture of a strategy's performance characteristics, helping traders understand not just how much they might make, but how the journey might feel along the way.

*?? **Pro Tip:** When evaluating a trading strategy, professional quants at hedge funds like Point72 and Citadel never look at returns in isolation—they always examine the "return distribution" of the strategy. They analyze metrics like skewness (whether the strategy has more extreme profits or losses) and kurtosis (how fat the tails of the distribution are). A strategy with positive skew (occasional large wins) and low kurtosis (few extreme outcomes) is often preferable to one with higher returns but negative skew (occasional huge losses). When developing your strategies, pay attention to not just the average return but the entire distribution of returns—it's often what separates strategies you can stick with from those you'll abandon at the worst possible time.*

Beyond the Basics: Enhancing Your Strategy

While our simple moving average crossover strategy provides a good starting point, several enhancements could improve its performance:

1.
Position Sizing: Instead of binary all-in/all-out positions, adjust position size based on signal strength or volatility
2.
Stop Losses: Implement exit rules to limit losses when trends fail to materialize
3.
Multiple Timeframes: Confirm signals by checking for agreement across different timeframes
4.
Volatility Filters: Only take trades when market volatility is within a favorable range